

II. ANNUAL REPORT

In accordance with Government Code Section 66006(b)(1) and (2), the School District hereby presents the following information for fiscal year 2014/2015 with regard to annual Reportable Fees:

A. Description of the Type of Reportable Fees in the Account or Sub-Account(s) of the School District:

The Reportable Fees of the School District for fiscal year 2014/2015 consist of Statutory School Fees. Statutory School Facility Fees were collected by the School District from new residential and commercial/industrial development in the amounts as noted below.

B. Amount of the Reportable Fees:

The Reportable Fees were authorized to be levied on Development by the Board of Education ("Board") of the District at the time the Reportable Fees were adopted. As shown in the District's Fee Justification Study ("FJS"), the Reportable Fees only partially mitigate the impacts to the District caused by Development because the Reportable Fee amounts do not adequately fund the District's School Facilities needs resulting from additional Development within the District. (Government Code Section 66006(b) (1) (A)).

Statutory School Fees (Government Code Section 66006(b) (1) (B))

Level 1 Residential	\$3.36 per square foot
Level 1 Commercial/Industrial	\$0.54 per square foot
Level 1 Hotel/Motel	\$0.299 per square foot

From July 1, 2014 to June 30, 2015

The Governing Board ("Board") of Saddleback Valley Unified School District, on July 8, 2014, approved school fee justification studies and adopted Level 1 School Fees in the amounts listed above.

C. Beginning and Ending Balance, Reportable Fees Collected, Interest Earned and Expenditures of the Fund (Government Code Section 66006(b)(1)(C) and (D)):

Table 1

	Reportable Fees
Beginning Balance (07/01/14)	\$10,736,436.99
Amount of Reportable Fees Collected	\$4,725,505.53
Interest Earned	\$52,291.46
Expenditures	(\$108,054.81)
Ending Balance (06/30/15):	\$15,406,179.17